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In final accounts, it is presented as follows:

Dr. Profit and loss account for the year ended 31st March, 2017 Cr.

Particulars	`	`	Particulars	`	`
			By Commission received	7,500	
			Less: Received in advance	2,500	5,000

Balance Sheet as on 31st March, 2017

Liabilities	`	Assets	`
Commission received in advance	2,500		

(vi) Interest on capital

According to separate entity concept business and proprietor are two separate entities. Capital contributed by proprietor is a liability to the business. Hence, interest may be provided on capital contributed by proprietor. It is treated as a business expense. The purpose is to know the true profit of the business.

Adjusting entry

Particulars		L.F.	Debit `	Credit `
Interest on capital A/c	Dr.		xxx	
To Capital A/c				xxx
(Interest on capital provided)				

Transfer entry

Particulars		L.F.	Debit `	Credit `
Profit and Loss A/c	Dr.		xxx	
To Interest on capital A/c				xxx
(Interest on capital transferred)				

Presentation in final accounts

In Profit and loss A/c	Amount of interest on capital is shown on the debit side.
In Balance Sheet	Amount of interest on capital is added to capital on the liabilities side of the balance sheet.

Tutorial note

Interest on capital is calculated on the opening balance of capital if there is no change in the capital account during the accounting year. If there is any additional capital introduced or capital withdrawn, then interest on capital is to be calculated proportionately on the balance outstanding.